

HARBOURNE RETAIL GROUP

Capital Project Appraisal

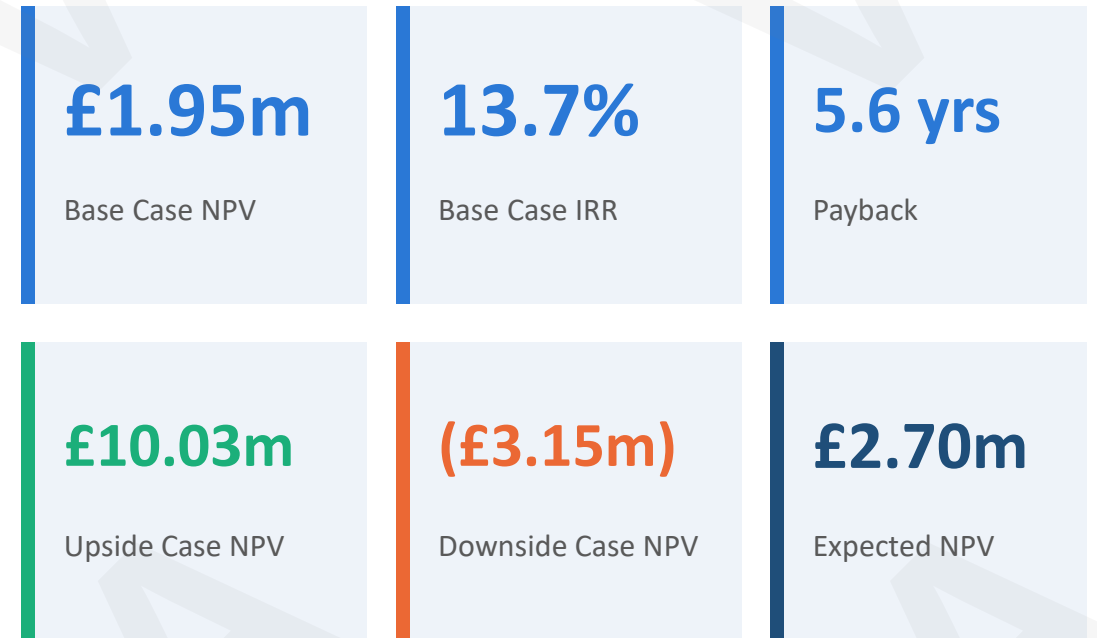
Fifteen urban convenience stores

Management presentation | Corporate Finance Division | October 2026

Confidential

Approve five stores now and release ten more once the first five prove themselves

- A £7.35m programme to open 15 urban convenience stores
- The Base Case clears the 8.98% hurdle rate, but not by a wide margin
- Sales per store decide the result. A 4.8% shortfall wipes out the NPV
- Phase 1 commits £2.45m. Phase 2 is released only on evidence



Expected NPV weights the cases 50, 25 and 25. The weights are a judgement. The Upside Case should not carry as much weight as the Downside Case.

The market is growing slowly and costs are rising faster than prices

£49.2bn

UK convenience channel in 2025

2.7% a year

Forecast growth to £56.2bn by 2030

25.4%

Share held by national multiple retailers

What helps

- Chilled food, soft drinks and food to go lead growth
- Multiples are the fastest growing group, driven by new stores
- A lower 38.2p business rates multiplier for small retail sites from April 2026

What hurts

- National Living Wage up 4.1% to £12.71 an hour
- Employer National Insurance of 15% above £5,000 a year
- Food price inflation of only 1.3% in August 2026
- Quick commerce delivery and falling tobacco and vape sales

Sources: IGD (2025), GOV.UK (2026a, 2026b), Office for National Statistics (2026), Westminster City Council (2026), HM Treasury (2025).

£7.35m buys 15 stores that pay back in 5.6 years in the Base Case

15

new urban stores

£450k

capex per store

£40k

pre-opening cost per store

10 years

lease term and appraisal horizon

How we measure it

- The extra cash the group earns, not the stores' own takings
- 12% of new store sales come from nearby group stores, and that lost gross profit is deducted
- Cash flows are discounted at the 8.98% hurdle rate
- Tax follows full expensing for qualifying plant and machinery
- No value is assumed in the sites at the end of the leases

Total initial outlay of £7.35m is spent in Year 0. Stores open on a rolling basis through Year 1.

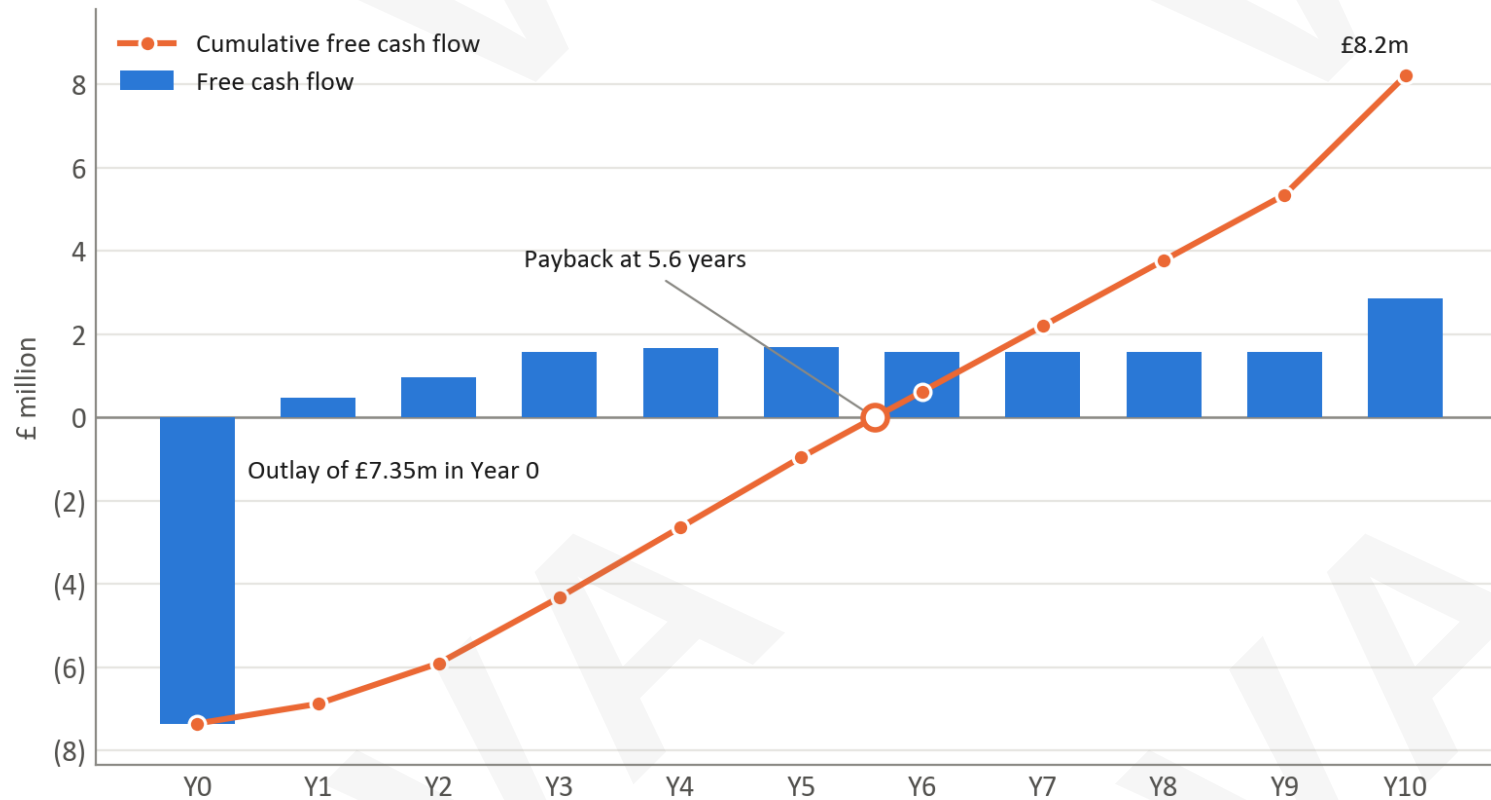
Source. Harbourn Retail financial model, Assumptions and Base Case sheets. Pancras et al. (2012) for sales transfer.

Published sources anchor costs and tax, while sales per store is our own estimate

Assumption	Base Case	Upside Case	Downside Case
Mature sales per store (£'000)	2,400	2,500	2,330
Year 1 and Year 2 sales ramp	75% and 92%	80% and 95%	72% and 89%
Like-for-like sales growth	2.0%	3.0%	1.2%
Sales taken from existing stores	12%	8%	14%
Capex per store (£'000)	450	425	470
Cost of goods sold (share of sales)	71.5%	71.4%	71.7%
Average hourly pay (£) and annual growth	13.40 and 3.5%	13.30 and 3.0%	13.50 and 3.8%
Rent per store (£'000) and Year 6 increase	100 and 10%	97 and 8%	101 and 11%
Hurdle rate	8.98%	8.98%	8.98%

Source. Harbourn Retail financial model, Assumptions sheet. Pay, tax and business rates are published. Sales, capex, rent and sales transfer are management estimates.

The Base Case clears the hurdle, with cash paid back in 5.6 years



£1.95m

Net present value

13.7%

Internal rate of return, against a 8.98% hurdle

1.27x

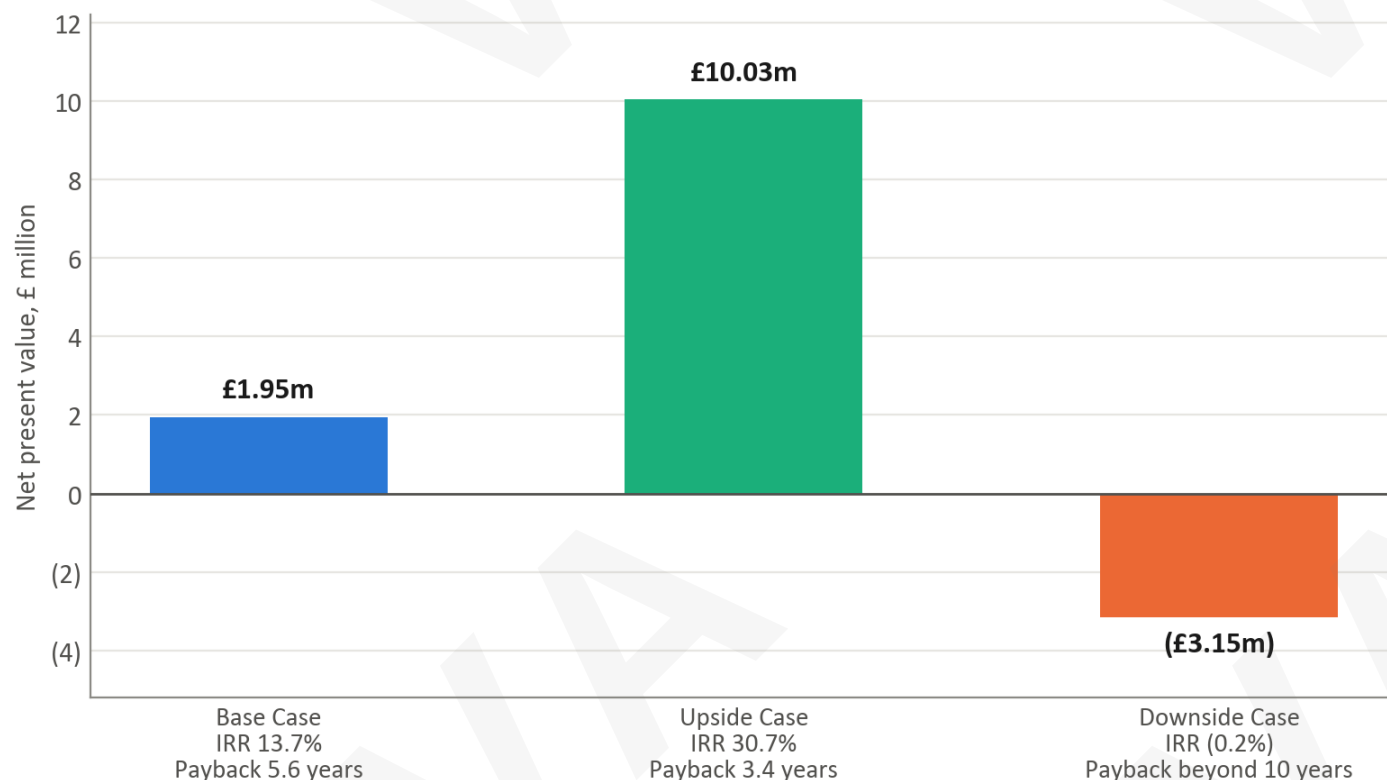
Profitability index

8.0 years

Payback after discounting

Source: Harbourn Retail financial model, Base Case sheet. Year 1 includes a tax refund of £1.21m from using early allowances against group profits.

Outcomes run from a £10.03m gain to a £3.15m loss

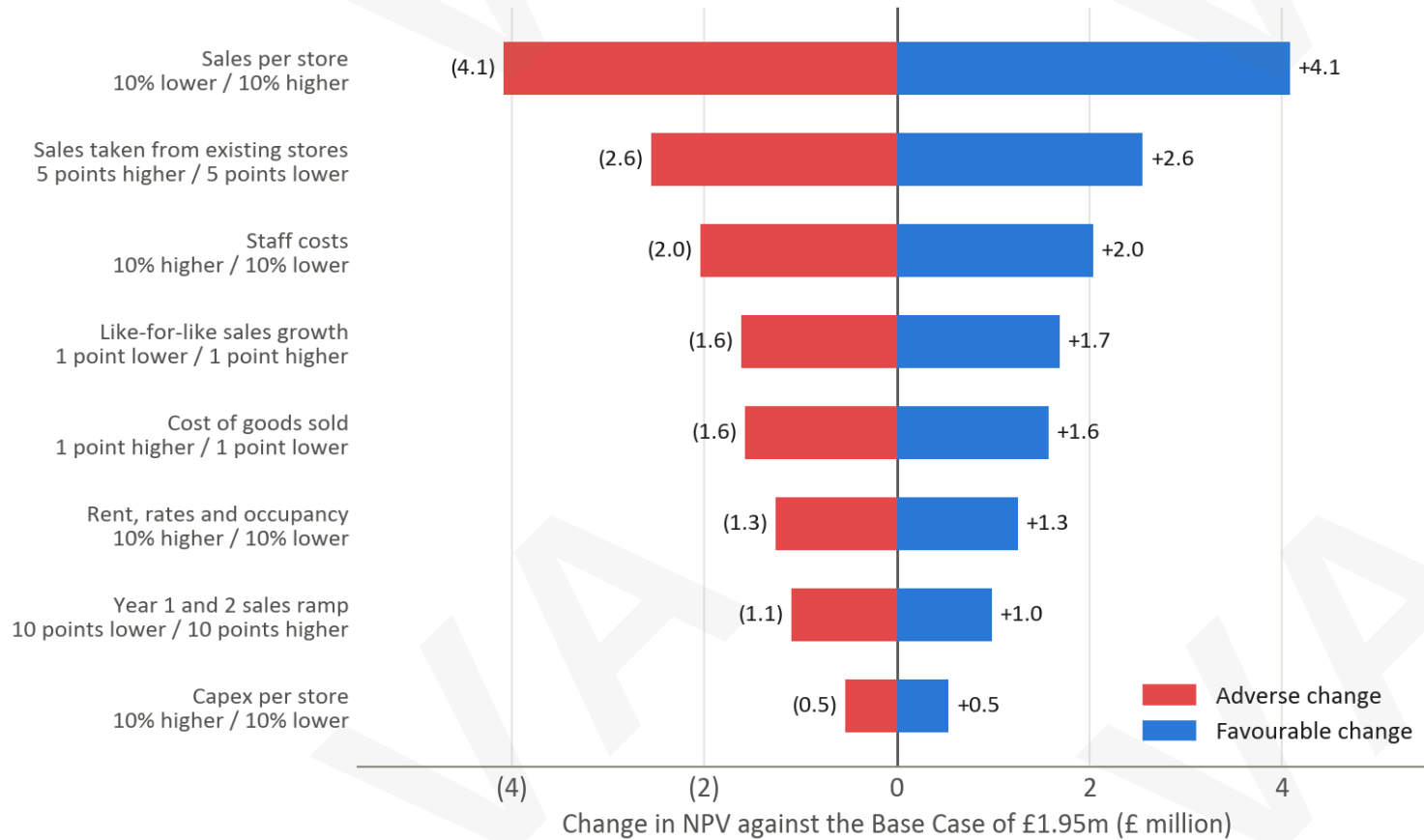


	Base	Upside	Downside
NPV (£'000)	1,951	10,032	(3,151)
IRR	13.7%	30.7%	(0.2%)
Payback	5.6 years	3.4 years	Beyond 10 years
Year 3 EBITDA margin	5.8%	8.6%	3.9%
10 year cash flow (£'000)	8,209	21,392	(84)

No single Downside input is extreme. Sales are only 3% below the Base Case. Together the small shortfalls are enough to turn the NPV negative.

Source. Harbourn Retail financial model, Dashboard sheet.

Sales per store drives the result, while build cost barely matters



What the chart says

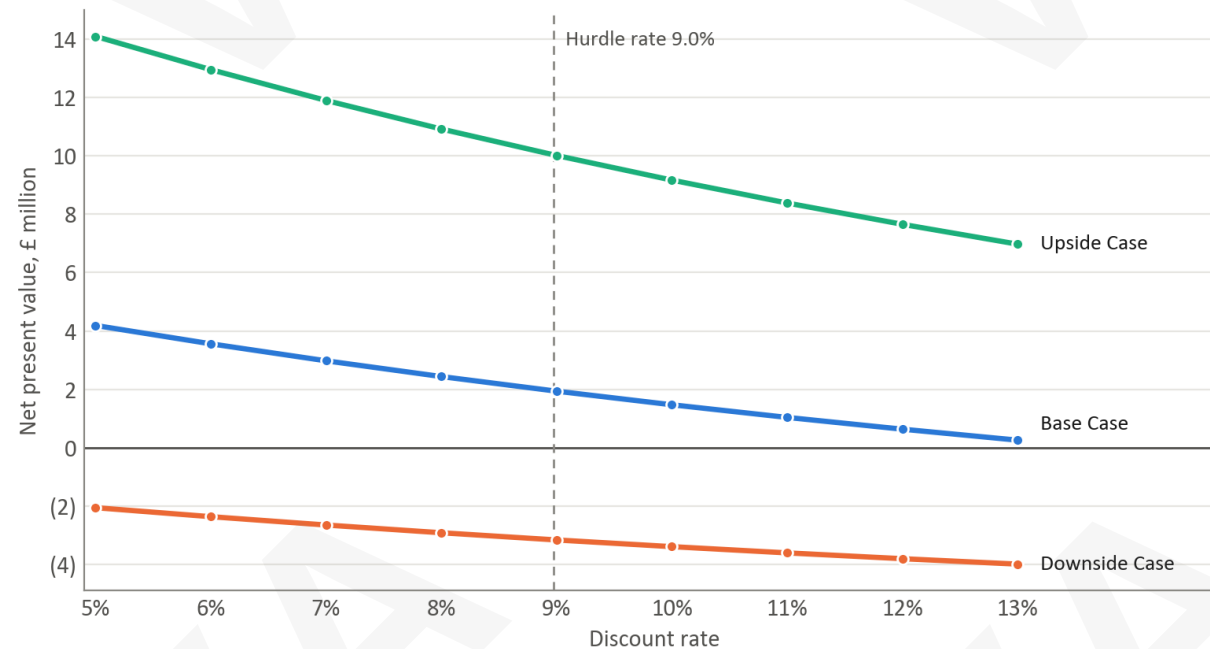
- A 10% fall in sales per store cuts NPV by £4.08m
- Five more points of sales transfer cost £2.55m
- A 10% rise in staff costs takes NPV to about zero
- A 10% capex overrun costs only £0.54m

Source. Harbourn Retail financial model, Sensitivity sheet. One input moves at a time.

Sales can fall only 4.8% before the NPV reaches zero

Driver	Base	Break-even
Sales per store (£'000)	2,400	2,285
Capex per store (£'000)	450	613
Cost of goods sold	71.5%	72.7%
Sales taken from stores	12.0%	15.8%
Discount rate (IRR)	8.98%	13.74%

Headroom is thin on sales (4.8%) and wide on capex (36%).



Source. Harbourn Retail financial model, Sensitivity sheet. NPV moves in a straight line with these four drivers, so two model runs fix each break-even.

Sales risk outweighs every other risk, so the response starts with proof of sales

Risk	Likelihood	Impact	What the model shows	Response
Sales per store below plan	Medium	High	10% fall costs £4.08m	Test the estimate, then use the gate
More sales come from nearby stores	Medium	Medium to high	5 points cost £2.55m	Screen sites by distance and track transfer
Pay and staffing costs	High	Medium to high	10% rise costs £2.04m	Tighten rotas and review trading hours
Gross margin pressure	Medium	Medium	1 point costs £1.58m	Hold supplier terms, push food to go
Rent, rates and energy	Medium	Medium	10% rise costs £1.26m	Cap rent reviews and check rateable values
Planning and opening delays	Medium	Medium	Slower ramp costs £1.09m	Secure consents before fit-out
Fit-out cost overrun	Medium	Low	10% overrun costs £0.54m	Fixed price contracts

Source. Harbourn Retail financial model, Sensitivity sheet. Likelihood and impact ratings are judgements.

Phase 2 is released only if Phase 1 passes five tests after nine months

Phase 1

5 stores in the strongest sites
£2.45m committed

Month 9 gate

Phase 2

10 more stores if every test passes
£4.90m committed

Test at month 9	Base Case	Gate	NPV reaches zero at
Sales per store against plan, annualised	100%	At least 97%	95.2% of plan
Sales taken from nearby stores	12%	No more than 14%	15.8%
Cost of goods sold	71.5%	No more than 72.0%	72.7%
Staff cost per store	£247k	No more than 5% above plan	About 10% above plan
Fit-out and opening cost per store	£490k	No more than £539k	36% above capex budget

If Phase 1 behaved like the Downside Case, five stores would lose about £1.05m of value, against £3.15m for all fifteen.

Source. Harbourn Retail financial model, Dashboard and Sensitivity sheets. Gate levels are our judgement and sit inside the break-even values.

The board is asked for three approvals and four next steps follow

For approval today

- Phase 1 of five stores and £2.45m of capital
- The five stage gate tests and their levels
- In principle, Phase 2 of ten stores and £4.90m, released only if the gate is passed

Next steps

- 1 Test the sales estimate against comparable existing stores
- 2 Confirm the capital allowance split with tax advisers
- 3 Secure planning and licences for the Phase 1 sites
- 4 Set up weekly tracking of the five gate measures

Appendix. How the 8.98% hurdle rate is built

Step	Value
Risk free rate (10 year gilt yield, rounded)	5.40%
Equity beta	0.80
Equity risk premium (4.2% mature market plus 0.6% UK)	4.80%
Cost of equity	9.24%
Cost of debt after tax (gilt yield plus 1.3%, taxed at 25%)	5.03%
Debt share of capital	30%
Weighted average cost of capital	7.98%
Project risk premium	1.00%
Hurdle rate	8.98%

Sources. Trading Economics (2026), Damodaran (2026), Bank of England (2026), Brealey et al. (2022). Beta, spread, debt share and premium are judgements.

Appendix. Base Case cash flows by year

£'000	Y0	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,212	(303)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Capital expenditure	(6,750)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(600)	0	0	0	0	0	0	0	0	0	0
Working capital	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	473	975	1,585	1,680	1,684	1,575	1,576	1,576	1,574	2,860
Cumulative free cash flow	(7,350)	(6,877)	(5,902)	(4,317)	(2,637)	(952)	623	2,199	3,775	5,349	8,209

Source. Harbourn Retail financial model, Base Case sheet. £'000. Outflows are in brackets.

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